The **High Level Committee** to assess the capitalization of PSBs in the next 10 years, headed by the Finance Secretary has recommended various options for funding of PSBs. Given the budgetary constraints, it may not be feasible for the government to infuse huge sums into the PSBs. This is why the Committee has recommended the formation of a '*non-operating financial holding company*' ***(HoldCo)*** under a special *act of Parliament* with the following key objectives –

i. To act as an investment company for the GoI;
ii. To hold a major portion of the GoI's holdings in all PSBs;
iii. To raise long-term debt from domestic and international markets to infuse equity into PSBs; and
iv. To service the debt from within its sources.

Due to weakening of the RRBs also their sponsor banks have been incurring huge NPAs. RRBs have played a pivotal role in credit delivery in rural areas, particularly to the agriculture sector – to enhance their outreach and provide banking services more effectively to rural masses, RRBs need to undertake a continuous process of technology and capital upgradation. With a view to bringing the CRAR of RRBs up to at least 9 per cent, **Dr K C Chakrabarty Committee** recommended recapitalisation support to the extent of Rs. 2,200 crore to 40 RRBs in 21 States. Pursuant to the recommendation of the Committee, recapitalization amount is to be shared by the stakeholders in proportion to their shareholding in RRBs, i.e. 50 per cent central government, 15 per cent concerned state government, and 35 per cent the concerned sponsor banks. The re-capitalisation will continue upto March 2014.

Stock of Money

In every economy it is necessary for the central bank to know the stock (amount/level) of money available in the economy only then it can go for suitable kind of credit and monetary policy. Saying simply, credit and monetary policy of an economy is all about changing the level of money flowing in the economic system. But it can be done only when we know the real flow of money. That's why it is necessary to first assess the level of money flowing in the economy.